

MERGING BUSINESS WITH PERSONAL PROFILE

Now that we know how to create a balance sheet and an income statement, there is one special case, concerning business owners, that is to be considered. How should the business owners deal with their business assets while creating their profile? Businesses fall under either of the three categories – Sole Proprietorship, Partnership and Company. NGOs and all other institutions can also be treated as companies.



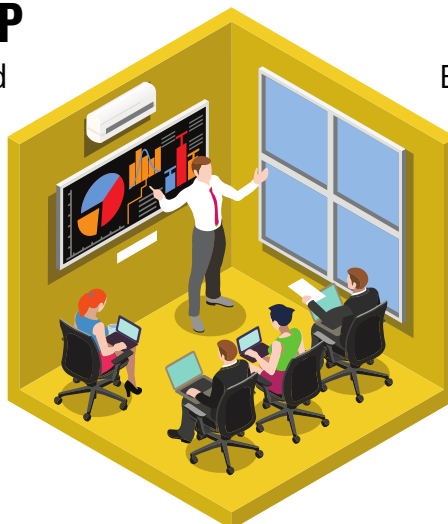
SOLE PROPRIETORSHIP

100% business is owned and operated an individual



PARTNERSHIP

Business is owned and operated by 2 or more partners



COMPANY

The business has various shareholders. One may hold a percentage of shares in the company